

Terms of Sale — Code Legend

Source: Michigan State Tax Commission, *CAMA Data Standards & Resource Guide*, Aug 19 2025 (Terms of Sale, pp. 8, 23–29). **Filter key:** `LEFT(term_of_sale, 2)` — the numeric code is the stable key; text labels drift (see `02_profile_sale_types.sql`).

The assessor classifies every code by **Recommended L-4015 Type**:

- **Conventional** = usable in a sales-ratio study (genuine market evidence)
- **Reference** = highly unlikely arms-length; excluded from ratio studies
- **Not Used** = excluded for data-quality reasons, not market-representativeness

That column *is* the strict/wide tier boundary. We didn't invent it.

STRICT TIER — Conventional (genuine value evidence)

Code	Label	Meaning	Notes
03	Arm's Length	Willing buyer & seller, unrelated, no duress. IAAO gold standard.	The strict tier. 96,752 rows.
33	To Be Determined	Flagged Conventional pending review; reclassified after verification.	Negligible volume — ignore.

WIDE-TIER BRIDGE — foreclosure-related (Reference by default, INCLUDABLE when the family exceeds 20% of a market area)

The key rule for Detroit. Codes 11 and 30 (and the foreclosure family generally) become valid ratio-study inputs **when foreclosure-related sales exceed 20% of sales in a market area** — because at that point they *are* the market. This is the citable basis for the wide tier.

Code	Label	Meaning
11	From Lending Inst. Exposed	Bank-owned (REO) <i>exposed</i> to the open market. Flagged Conventional. Low end of value range — motivated seller.
17	Lending to Lending	Financial institution as seller, same family as 11.
30	Short Sale	Lienholder accepts payoff below balance. Undue-stimulus family.
34	To Lending Institution	Often in lieu of foreclosure; not market-exposed. Mostly Reference.
10	Foreclosure	The <i>legal process</i> , not a sale. Part of the >20% family signal, not a price on its own.

GOVERNMENT — the two-faced channel

Code	Label	Meaning
13	Government	Sales to/from a government agency. Compulsion when govt buys; low-end values when govt sells. In Detroit this is both the Land Bank giveaway channel (distress) and the city/DEGC assembly channel (development). Composition context decides which.

EXCLUDE — Reference (the "how does property move" turnover)

Code	Label	Meaning
21	Not Used/Other	Grab-bag: quit-claims, \$1 transfers, deed-restricted sales, partial interests, poverty-exemption transfers. 205,909 rows.
09	Family/Related Entity	Between relatives / corporate affiliates. Non-open-market unless individually verified.
18	Life Estate	Interest lasting one person's lifetime.
12	From Lending Inst. Not Exposed	Same as 11 but <i>never</i> market-exposed — excluded even under the 20% rule.

EXCLUDE ALWAYS — multi-parcel (join-breakers, regardless of tier)

One dollar figure covers several parcels. Joined to a single `parcel_id`, the full price is attributed to one property → fabricated high-end outlier. Exclude before any price work.

Code	Label
19	Multi Parcel Arm's Length
20	Multi Parcel Sale Ref

Analytical consequence

Retention rate ≠ market health. Two neighborhoods at the same low arms-length retention can be telling opposite stories:

- **Development-driven low retention** → non-03 dominated by 13-Government + 19/20 multi-parcel (land assembly).
- **Distress-driven low retention** → non-03 dominated by 10/11/17/30 (foreclosure family) + 21 quit-claims.

Retention tells you *how thin* the arms-length market is. Composition of the non-03 transfers tells you *why*. The Neighborhood Health Index needs both.

Full 35-code set: CAMA Resource Guide pp. 23–29.